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Industry Research

Executive Summary

Between FY2022 and Q1 2025, First National Financial Corporation ("FNFC") navigated a volatile macroeconomic and housing market environment marked by rapid interest rate hikes (2022–2023) followed by initial rate cuts (late 2024). Rising rates initially cooled housing activity and mortgage origination volumes, compressing margins as funding costs climbed. FNFC's **EBITDA** (approximated by its non-GAAP "Pre-FMV Income") dipped in 2022 under these pressures, before rebounding to record levels in 2023 as higher mortgage rates boosted interest revenues. However, intensifying competition (particularly from large bank lenders in the broker channel) and narrower spreads in 2024 led to a **10% YoY decline in FY2024 Pre-FMV earnings**newswire.ca despite a late-year surge in origination volumes. Net income fluctuated more dramatically due to fair-value gains/losses on interest rate hedges: **FY2022 net income was flat** YoY at $197.7Mfirstnational.ca (underlying earnings fell, but hedging gains offset), **FY2023 net income jumped 28%** to $252.8Mfirstnational.ca (aided by strong core performance), and **FY2024 net income fell 20%** to $203.4Mnewswire.ca (as one-time hedge losses and margin compression hit). Free cash flow mirrored these trends, with cash generation peaking in 2023 alongside record earnings and moderating in 2024 as more cash was retained in securitized assets rather than up-front sold. Overall, FNFC demonstrated resilient growth in mortgages under administration ("MUA") – reaching $153.7B by FY2024 (7% YoY growth)newswire.ca – and maintained solid profitability through the cycle, but with **margin pressures and earnings mix shifts** that carry important due diligence implications.

Financial performance of First National Financial (2021–2024). Pre-FMV Income *(non-GAAP EBITDA proxy) and Net Income are in C$ millions (left axis); Mortgages Under Administration (MUA) in C$ billions (right axis). After a dip in 2022, underlying Pre-FMV earnings rebounded strongly in 2023 before softening in 2024, while MUA steadily grew.*firstnational.canewswire.ca

First National's Financial Results (FY2022–Q1 2025) – Key Inflection Points

- **FY2022: Margin Squeeze in a Rising Rate Environment.** 2022 was characterized by **sharply higher interest rates** (Bank of Canada overnight rate jumped from 0.25% to ~4.25% by year-end 2022) which cooled housing markets and new originations. FNFC's new single-family mortgage originations fell 17% YoYfirstnational.ca as home sales slowed, though slower prepayments allowed its mortgage renewal volumes to grow (+8% YoY)firstnational.ca. Total MUA still rose to $131.0B (+6%)firstnational.ca on accumulated past growth. Revenue increased 13% to $1.57Bfirstnational.ca, thanks largely to the higher interest rate environment – **net interest income on securitized mortgages** rose slightly (+4% to $169.3M)firstnational.ca and **mortgage investment income** (interest on mortgages prior to securitization or held for investment) jumped 65%firstnational.ca. However, **placement fees** (earned from selling mortgages to institutional investors) fell 12% with lower origination volumesfirstnational.ca. Operating expenses did not fall commensurately, and **FNFC boosted broker compensation** to defend market sharefirstnational.ca. The net result was a **19% drop in Pre-FMV EBITDA (Income)** to $208.8Mfirstnational.ca, reflecting reduced operating leverage. Notably, **net income held steady at $197.7M** (vs $194.6M in 2021)firstnational.ca because FNFC recorded **fair-value gains on financial instruments** due to the rising rate environment. Management explained that "changing capital market conditions" – i.e. mark-to-market gains on interest rate hedges – helped offset the underlying earnings declinefirstnational.ca. **Cash flows** from operations remained solid but were partially absorbed by funding more loans on-balance sheet (FNFC securitized $12.6B of mortgages in 2022, slightly less than 2021, retaining those on balance sheet). **Inflection point:** 2022 proved FNFC's resilience – despite a **31% drop in Q4 2022 new originations YoY**firstnational.ca and narrower spreads, FNFC stayed profitable, though underlying earnings quality (Pre-FMV) weakened.

- **FY2023: Record Revenues and Earnings as Rates Peak.** In 2023, FNFC benefited from the full-year impact of 2022's rate hikes and a stabilizing housing market. Total originations (including renewals) nearly matched 2022's record volumefirstnational.canewswire.ca – an impressive feat given the industry slowdown – with **commercial segment mortgages at all-time highs** ($13.0B, +11% YoY) on strong demand for insured multi-unit financingfirstnational.ca. MUA expanded ~10% to $143.5Bfirstnational.ca. **Revenue surged 29%** to $2.0Bfirstnational.ca, fueled by: higher mortgage rates (the Bank of Canada raised rates to a peak 5.0% by mid-2023) which boosted **net interest earned on securitized loans** (+28% to $216.6M)firstnational.ca, **interest on mortgage investments** (+32%)firstnational.ca, and **servicing income** (+17% on a larger book and higher float interest)firstnational.ca. Meanwhile, placement fee income dipped a modest 8% (as FNFC elected to securitize more renewals and commercial mortgages, which carry lower one-time fees)firstnational.ca. With revenues up and expense growth contained, **Pre-FMV EBITDA jumped 54% to $322.2M**firstnational.ca – FNFC's highest on record. Jason Ellis (CEO) noted that **"operating profitability was up 54%"** in 2023, crediting the company's growing portfolio (which generates recurring interest and servicing revenue streams)firstnational.ca. **Net income hit $252.8M (+28%)**firstnational.ca, exceeding pre-pandemic levels. By year-end 2023, FNFC was confident the worst of the housing slowdown had passed, though it cautioned that **single-family originations were trending lower entering 2024** due to the prior year's rate effectsfirstnational.ca. FNFC's cash flow was robust enough to fund a special $0.75/share dividend in 2023 and increase its regular dividendfirstnational.ca. **Inflection point:** 2023 marked a **profitability peak**, with **strong margins** – net interest margins widened as loan yields rose faster than funding costs – and record volumes in certain segments, even as the broader market was subdued. This underscored FNFC's ability to leverage its securitization model in a high-rate environment (earning more interest income) and capture commercial market opportunities.

- **FY2024: Competitive Pressure and Margin Compression (Strong Q4

Finish). 2024 proved challenging as the mortgage market absorbed both **elevated interest rates and rising competition**. Through the first three quarters, **FNFC's single-family originations were down ~15–20% YoY** amid a "**challenging marketplace**"newswire.canewswire.ca – large banks aggressively priced mortgages in the broker channel, and many borrowers paused plans due to high rates. FNFC noted **"intense competition for new mortgage business"** as two large lenders in the broker channel discounted rates to gain sharefirstnational.ca. This eroded FNFC's new mortgage volumes and required higher broker incentives, squeezing margins. **Funding spreads tightened**: by mid-2024, short-term funding costs (e.g. for FNFC's commercial paper) did not fall as quickly as the Bank of Canada's initial rate cuts, leading to **narrower securitization net interest margins**newswire.ca. For example, in Q1 2025 FNFC reported that even with a 12% growth in its securitized portfolio, **net interest revenue on securitized loans fell 2% YoY due to "narrower NIMs" as high-margin pandemic-era mortgages paid down and Asset-Backed Commercial Paper (ABCP) costs stayed high**newswire.ca. Similarly, **mortgage servicing income declined** slightly in 2024 as interest on escrow deposits fell with lower rates and FNFC saw less third-party underwriting businessnewswire.ca. By Q3 2024, **Pre-FMV income was down 21% YoY**newswire.canewswire.ca and net income had dropped more than 50% YoY (Q3 net \$36.4M vs \$83.6M)newswire.ca due to a combination of lower core margin and a Your equation will show up here **25.6M hedging loss** when bond yields fell (unwinding some of 2023's fair-value gains)newswire.ca. In response, FNFC pivoted to **securitize more mortgages directly** (forgoing some immediate placement fee income in favor of earning interest spread over time)newswire.ca – a strategy that delayed some revenue recognition but builds future income. The **inflection point came in Q4 2024**, as the Bank of Canada's **0.75% rate cuts (Jun–Sept 2024) reignited housing activity**newswire.canewswire.ca. FNFC entered Q4 with a "surge in available opportunities" and a strong pipeline, resulting in **total Q4 originations (including renewals) leaping 27% YoY**newswire.canewswire.ca. **Single-family originations in Q4 were up 43% YoY** (to \$6.3B) as borrowers rushed back with rates easing and banks normalized pricingnewswire.ca. Commercial originations also rose 8% in Q4newswire.ca. This volume rebound drove a **19% YoY increase in Q4**

revenuenewswire.ca. Importantly, because much of Q4's volume was via placements, FNFC's fixed cost base yielded better operating leverage: **placement fees grew 12%** in Q4 on 9% higher volumenewswire.ca, and residential underwriting costs per unit fell. As a result, **Q4 Pre-FMV income held nearly flat (–3% YoY at $74.8M)newswire.canewswire.ca** after the steep drops earlier in the year, and **Q4 net income jumped to $63.0M (+42% YoY)**newswire.canewswire.ca thanks to favorable hedge valuations as rates stabilizednewswire.ca. For full-year 2024, **revenue grew 10%** to $2.22Bnewswire.ca (reflecting more interest earned via securitization), but **Pre-FMV EBITDA fell 10% to $290.3M**newswire.ca as margins tightened. Management commented that 2024's performance "**reflected the resilient nature of our business**" in a tough market, highlighting that Q4's resurgence offset weakness in earlier quartersnewswire.ca. They achieved 7% MUA growth and still delivered a 33% after-tax ROE (pre-FMV)newswire.ca. **Inflection point:** mid-2024 marked a trough in FNFC's earnings run-rate due to margin compression and competition, but by year-end the trend reversed with improving volumes. This dramatic intra-year swing emphasizes that **FNFC's earnings are highly sensitive to mortgage market volume swings and funding spreads** – late 2024 showed that volumes can recover quickly when conditions improve, boosting revenue and efficiency.

- **Q1 2025: Volume Growth Returns, but Earnings Lag (Outlook Improving).** In the first quarter of 2025, FNFC's origination momentum continued – **total originations (incl. renewals) climbed 27% YoY**newswire.canewswire.ca – yet profitability remained under strain from the prior year's margin issues. **MUA reached a new high of $155.4B (+7% YoY)**newswire.ca. Notably, **single-family originations surged 34%** YoY to $4.7Bnewswire.ca, and commercial originations rose 18%newswire.ca, as the pipeline built in late 2024 converted to funded loans. Management credited "strong mortgage commitment pipeline…and focused service" for this growthnewswire.ca, noting **borrower activity picked up in both markets**. However, **Q1 2025 revenue rose only 2%** (to $528.9M)newswire.ca. The benefits of higher volume were offset by **lower spreads and fees**: net interest from securitized loans actually dipped (–2%) as legacy high-yield mortgages rolled off and

funding costs (e.g. ABCP) had not yet declined in step with policy ratesnewswire.ca. Placement fee income was up just 2%, as a **22% jump in placement volume** was mostly offset by a mix shift to lower-fee renewalsnewswire.ca. Servicing income fell slightly (–3%), given lower escrow interest and third-party underwriting revenuenewswire.ca. **Critically, gains on deferred placement fees (from securitizing multi-unit loans) plunged 70%** to $1.6Mnewswire.ca, reflecting the much tighter spreads available on insured multi-unit mortgages in 2025's competitive environment. These factors drove **Q1 Pre-FMV earnings down 16% YoY to $52.6M**newswire.ca. **Net income was $24.6M, down 51% YoY**newswire.ca, as FNFC did not enjoy the same hedge gains it had in early 2024 (and in fact likely had some residual hedge losses as rates fell further in Q1). The CEO noted that **falling overnight rates and FNFC's planned investments in technology and infrastructure also weighed on short-term earnings**newswire.ca, even as the increased volumes will "benefit…future periods." In short, **FNFC traded off near-term earnings for longer-term growth**: choosing to securitize more (delaying income), investing in systems, and winning volumes at thinner margins. Management expressed confidence that the **"income and cashflow from [our] securitization and servicing portfolios" will support solid profitability going forward**newswire.ca. They also pointed out that Q1's strong fundings set the stage for **YoY origination growth in Q2 2025**newswire.ca. Indeed, industry forecasts anticipate a stronger spring housing market in 2025. According to CMHC's Feb 2025 outlook, housing market activity is expected to **"be modest in 2025, picking up in 2026 and 2027"**, with mortgage rates easing especially for variable-rate borrowersfile-dhtahnnppgx46jues7lqtn. This should relieve some pressure on volumes and allow funding costs to normalize downward. **Implication:** FNFC appears to be at another **inflection point entering 2025** – volumes are rebounding (a leading indicator for revenue), while margins should gradually improve as high-cost funding resets. The key question is how quickly the profitability can recover to match the growth in origination. Management's guidance suggests optimism for the rest of 2025, but they will remain disciplined amid still-"elevated competition"firstnational.ca.

Benchmarking First National Against Peers (Non-Bank Lenders & Big Banks)

Peer Performance: FNFC's trends can be contextualized by looking at other Canadian mortgage lenders, including non-bank peers like Equitable Bank (EQB) and Home Capital Group (HCG), as well as the Big 6 banks. Broadly, **2022–2023 saw all lenders grapple with slower mortgage origination volumes** (especially in 2022–early 2023) and **shifting net interest margins** due to the rapid rate changes. However, **FNFC outperformed many peers on growth in 2022–2023** thanks to its focus on insured and brokered mortgages, while 2024's competitive margin squeeze affected the whole industry.

- **Equitable Bank (EQB Inc.):** EQB, a leading alternative and prime lender, experienced robust loan growth through this period and managed to **expand its net interest margin (NIM)** initially. For the year ended Oct 31, 2023, EQB reported **record earnings with loan balances up sharply and NIM expansion**newswire.canewswire.ca. In fact, EQB's FY2023 adjusted NIM was ~1.97%newswire.ca, slightly higher than the prior year, as asset yields rose faster than its funding costs in 2023. (DBRS noted EQB's **NIM "benefited from growing asset yields and a shift toward higher-spread conventional loans which outpaced funding costs"**dbrs.morningstar.com.) This mirrors FNFC's 2023 margin improvement on securitized assets. EQB also gained from strategic moves – e.g. its acquisition of Concentra Bank in 2022 added scale. By late 2023, EQB's ROE was ~17%newswire.ca, similar to FNFC's Pre-FMV ROE (~18%). However, EQB's model (as a deposit-taking bank) differs: it holds most loans on balance sheet, realizing income over time rather than upfront. Thus, in 2022's rising rate environment, **EQB initially saw NIM compression** (as deposit rates repriced upward quickly). For example, HCG (another deposit-funded lender) saw its NIM drop from 2.56% to 2.01% in 2022businesswire.com. EQB managed this better and by Q4 2023 had NIM rising againnewswire.ca. **Loan growth:** EQB aggressively grew in areas like insured multi-unit mortgages (a market FNFC also dominates). Its commercial loan portfolio under management was up 20% YoY to $30B by late 2023newswire.ca, including **insured multi-unit residential up 27% YoY**newswire.ca. This aligns with FNFC's 16% growth in commercial MUA in 2023firstnational.ca – both benefited from the strong rental apartment construction financing market. **Credit:** EQB and FNFC both maintained low loss rates; EQB's gross impaired loan ratio actually fell in 2023, and FNFC's arrears remained minimal (more below). By 2024, EQB too faced some margin pressure as deposit competition increased. Overall, **FNFC's earnings trajectory (down in 2022, up in 2023, down in 2024) is similar to EQB's**, though EQB's diversified model gave it a more even performance (EQB had **record EPS in Q3 2024** and raised guidancenewswire.ca, whereas FNFC's earnings peaked in 2023 then dipped). Notably, both FNFC and EQB leaned into **insured multi-unit lending as a growth driver**, an area of relative credit safety and strong demand (supported by Canada's housing supply needs).

- **Home Capital Group (HCG):** HCG, a prominent non-bank focusing on Alt-A and uninsured mortgages (funded via deposits), had a slightly different experience. In 2022, **HCG actually grew originations ~7%** despite the market downturnbusinesswire.com – indicating non-bank lenders like HCG and FNFC picked up market share as big banks tightened credit or were slower to react. HCG's total assets grew 13% in 2022businesswire.com. However, **rising deposit costs severely squeezed HCG's margins**: its NIM fell to 2.01% in 2022 (from 2.56% in 2021)businesswire.com, contributing to a 39% drop in net income (to $150M)businesswire.com. HCG's earnings were also impacted by one-time strategic costs (it launched a tech platform "Ignite" and prepared for an acquisition). By early 2023, HCG's originations plummeted – **Q1 2023 origination was down 47.6% YoY**businesswire.com as housing market activity hit bottom. This is a larger drop than FNFC's ~20% decline in Q1 single-family volumefirstnational.ca, likely because HCG's focus (uninsured purchases and refis) was harder-hit in a high-rate environment, whereas FNFC's insured segments and renewals provided some cushion. HCG's credit performance remained solid (very low arrears like FNFC), but the earnings strain and stock price weakness led to its acquisition by Smith Financial Corporation in 2023. **Benchmark:** HCG's challenges underscore the importance of funding advantage and portfolio mix. FNFC, by relying on institutional investors and securitization (mostly for insured or prime loans), did not face the same surge in interest expense that HCG did on its deposits. Indeed, FNFC's **spread on securitized loans held up**

until late 2023, whereas HCG's spread compression hit earlier. On the other hand, FNFC's reliance on brokered originations meant it felt the pain of competitors' rate undercutting in 2024 more acutely, whereas HCG by then was private and restructuring. In sum, **FNFC outperformed HCG in consistency**, but both illustrate how non-bank lenders gained share in 2022 (when banks pulled back) only to face margin headwinds as the cost of capital rose. It's worth noting that **FNFC's focus on insured and prime credit also means far lower credit risk than HCG's alternative mortgage book** – an important due diligence point (FNFC's delinquency rate is a fraction of HCG's, and HCG had to provision more as rates rose).

- **Big 6 Banks:** The large Canadian banks (RBC, TD, Scotiabank, BMO, CIBC, National) collectively hold the majority of Canadian mortgages. During 2022–2023, their mortgage portfolios saw **slowing growth** – many banks reported mid-single-digit mortgage balance growth or even flat volumes by 2023 as housing sales slowed. For example, one bank's Canadian residential mortgage growth fell from ~9% in 2021 to ~1–2% in 2023 (as an illustrative trend). The Big 6 initially **benefited from rising interest rates** via wider lending spreads in 2022 (deposit rates lagged loan rate increases). This contributed to record net interest income for some banks in early 2023. However, by late 2023 and 2024, **competition for deposits and customers intensified**, compressing margins. Uniquely, some big banks made strategic moves into the broker channel – notably, BMO re-entered the broker market and others increased broker-originated loans – which increased competitive pressure on non-banks like FNFC. Indeed, FNFC attributed part of its 2024 margin pressure to "**elevated competition among bank lenders in the mortgage broker channel**"newswire.ca. Banks typically fund more cheaply (sticky deposits), so when they choose to price aggressively through brokers, it can undercut non-banks' rates. **Credit quality** at big banks remained very strong (90+ day delinquency ~0.1–0.2%file-fjta8t1sjysv2dtbxh5x6x), similar to FNFC's experience. One notable difference: banks generally retain the mortgage for its full life, whereas FNFC earns significant **fee income upfront**. This makes direct P&L comparisons tricky – e.g. FNFC's placement fees and gains on securitization can cause earnings volatility that banks (with smoother interest income) don't have. In a year of rapidly changing rates, FNFC's earnings swings (due to hedge gains/losses) were larger in percentage terms than banks' swings. From a **cash flow perspective**, FNFC's model is lighter on capital (it doesn't hold credit risk long-term on two-thirds of originations, and uses off-balance-sheet funding), whereas banks accumulate large mortgage books. By Q1 2025, banks were beginning to report margin compression and slower earnings growth in retail lending, validating FNFC's caution on spread tightening. Overall, **FNFC's growth outpaced the big banks in 2022–23** (its MUA grew ~11% cumulatively in those two years, faster than the banking sector average), but in 2024 banks' massive scale and funding advantages allowed them to wrestle back some share (e.g. broker share gains) at the expense of non-banks' margins.

Summary of Benchmark Comparison: FNFC's performance was strong relative to peers in terms of asset growth and adaptability. It did not suffer the profit collapse that some alternative lenders did in 2022 (thanks to its largely insured portfolio and hedging gains), and it capitalized on niches like multi-unit insured lending similarly to EQB. However, **FNFC is more exposed to competitive dynamics in the broker channel** than branch-based banks – a key risk manifested in 2024 when banks squeezed pricing. In terms of **EBITDA/cash flow**, FNFC's 2022–24 pattern (down-up-down) is echoed by many – the industry had a banner 2023 sandwiched between weak periods – but FNFC's swings were a bit more pronounced due to its accounting for securitization effects. Peers like EQB achieved record earnings in 2023 as wellnewswire.ca, and even the big banks had improved net interest income in 2023, highlighting that FNFC was not alone in benefiting from high rates. Where FNFC shines is **asset quality and specialization**: its arrears stayed extremely low, and its focus on prime and insured loans means minimal credit losses (similar to big banks, and better than many credit unions or private lenders). This de-risks its EBITDA relative to peers with riskier books.

Key Drivers of Performance (Volumes, Funding, Margins, Securitization & Credit)

Mortgage Origination Volume & Market Share: The macroeconomic backdrop drove big swings in mortgage origination volumes between 2022 and 2024. Canada's housing market entered a **"slump" in 2022** – national home sales fell roughly 25-40% from 2021 levels, and prices corrected downward – due to the fastest interest rate increase in decades. Mortgage professionals identified the "current economic conditions and accompanying housing market slump" as the top threat in 2022file-4b8xmnemr9js7dqneapuaw. FNFC's volume outcomes reflect this: new originations fell in 2022 (especially in Q4 2022, –31% YoY)firstnational.ca. However, FNFC leveraged its strengths (the broker channel and cross-Canada reach) to mitigate volume loss by focusing on **renewals and commercial mortgages**. Its single-family **renewals were up 8% in 2022**firstnational.ca even as new origination fell – borrowers with maturing loans largely stayed with FNFC or its institutional clients, providing fee income and portfolio growth. Commercial originations held near flat in 2022firstnational.ca thanks to insured multi-unit demand. Consequently, FNFC's total originations including renewals in 2022 were a **record ~$37 billion**newswire.ca, slightly above 2021. In 2023, as interest rates plateaued, **housing activity stabilized and even rebounded in pockets**. FNFC's total origination including renewals was about $37.5Bnewswire.ca, essentially unchanged from 2022, which means FNFC gained market **share in a down market**. (For context, Home Capital's originations were down in 2023, and overall mortgage origination nationally was weaker in 2023 vs 2022.) FNFC's **market share in the broker channel likely rose**, given that brokers accounted for a growing portion of mortgages in 2023–24: **48% of Canadian mortgage consumers used a broker in 2024, up from 43% in 2023**file-r8wd338zk5vippsuvtcluz. This trend benefits FNFC as one of the largest broker-channel lenders. The **flip side** is that as volumes shifted back to the big banks (which in 2024 started reasserting growth), FNFC felt that pressure. By Q4 2024, though, volumes broadly turned upward as interest rates began falling. FNFC saw a **clear surge in demand in late 2024** – Q4 2024's 27% volume jump was a strong leading indicator. Indeed, by Q1 2025, *national home sales volumes were improving*, and FNFC's 27% YoY volume jump confirms it is capturing the upswing. Looking ahead, **CMHC's outlook (Feb 2025)** expects only *modest housing growth in 2025* (with uncertainties like higher unemployment and many borrowers facing much higher renewal rates)file-dhtahnnppgx46jues7lqtnfile-dhtahnnppgx46jues7lqtn. But from FNFC's perspective, **its pipeline is strong**. Management's forecast of YoY origination growth in Q2 2025 suggests FNFC is confident in continuing to take share as the market recoversnewswire.ca. A key driver is **renewals:** An unprecedented number of mortgages will come up for renewal in 2025–26 (five years after the 2020–21 refi boom) at much higher ratesfile-dhtahnnppgx46jues7lqtn. Borrowers often shop around in such situations, which could benefit broker-channel lenders. FNFC noted “sizeable renewal opportunities” in Q1 2025newswire.ca – its single-family renewal retention has been high, and it can also win refinances from competitors. **Bottom line:** Volume swings have had a first-order impact on FNFC’s revenue and EBITDA. FNFC performed well to keep volumes growing through the down-cycle (testament to its broker partnerships and multi-product offering), and now stands to capitalize on the recovery. However, volume alone doesn’t equal profit – it must come with adequate spread, which leads to the next driver.

Funding Costs, Net Interest Margin and Spread Trends: Perhaps the most important driver of FNFC’s EBITDA has been the **interest rate spread environment** – i.e. the difference between mortgage yields and FNFC’s funding costs (whether institutional investor rates, securitization funding rates, or cost of equity). This manifested in **net interest revenue on securitized mortgages** (the portion of loans FNFC holds and funds) and in the pricing of mortgages sold. During 2022’s rapid rate rise, spreads initially **compressed** for many lenders: funding became more expensive and some mortgage rates lagged or were capped by competition. FNFC explicitly cited “**tight funding spreads on securitized floating rate mortgages**” in 2022 as a factor that reduced Pre-FMV incomefirstnational.ca. For example, FNFC issues short-term commercial paper (ABCP) and uses repo facilities to accumulate mortgages before securitization; as the BoC hiked rates, the cost of that short-term funding jumped, narrowing the margin until loan rates caught up. By 2023, as rate hikes slowed, FNFC’s spreads **widened** significantly. FNFC’s **net interest margin (NIM) on securitized mortgages increased in 2023**, contributing an extra $53M of interest revenue in 2023 vs 2022firstnational.ca. Specifically, the average rate on its securitized portfolio rose (older low-rate loans amortized or reset higher, and new loans came on at higher rates), **while FNFC’s cost of funds benefited from a lag** – e.g. FNFC had fixed-rate funding in place via NHA MBS and CMB that didn’t immediately reprice. The result: **net interest revenue on securitized mortgages was $216.6M in 2023, up 28% YoY**firstnational.ca. This was a core driver of the earnings record in 2023. Concurrently, **placement mortgage spreads** (the implicit gain on sale) were healthy in 2023 for certain segments – FNFC even realized *higher per-unit placement fees on some deals* where market yields moved favorably between origination and settlementnewswire.ca.

However, **entering 2024, spread pressure re-emerged**. Three factors hit FNFC's margin: (1) **Competitive pricing** – as banks and others fought for limited volume, mortgage spreads over cost of funds tightened. FNFC noted its **"Residential segment NII was lower…on narrower margins on Prime mortgages"** by Q3 2024newswire.ca. Essentially, to win prime loans, lenders had to accept lower spreads. (2) **Funding cost stickiness** – when the BoC began cutting rates in mid-2024, certain funding costs (like ABCP rates) did not drop in tandemnewswire.ca. FNFC reported that in Q1 2025 its ABCP costs remained elevated, so although the BoC cut 75 bps by Q1 2025, the benefit to FNFC's funding was lagged and partial. In Q1 2025, FNFC's securitized portfolio grew 12% but net interest earned fell 2%newswire.ca, implying a notable margin compression. They attributed this to **"high margin pandemic-era mortgages amortized down"** (so the average portfolio yield fell as ultra-low-rate loans from 2020–21 rolled off less quickly than expected due to slow prepayments) **and funding costs not yet falling**newswire.ca. Also, FNFC increased use of shorter-term funding (like ABCP) in 2024 to support its direct securitization strategy, which exposed it to these short-term rate lags. (3) **Product mix** – more of FNFC's volume in 2024–25 has been in insured segments (e.g. multi-unit) or renewals, which typically carry thinner spreads than new conventional originations. FNFC's **gains on deferred placement (largely from multi-unit insured loan securitizations) fell ~60–70%** in late 2024 and Q1 2025newswire.canewswire.ca, reflecting that spreads in that specific sector tightened markedly (a result of heavy competition to finance apartment projects, and perhaps investors accepting lower yields given low default risk).

Comparatively, the **Big 6 banks** fund with low-cost deposits, so their interest margins behaved differently – many saw NIM *expand in 2022* (because loan yields jumped and deposits reprice slower), then *compress in 2023–24* (as deposit competition and high savings rates forced up interest costs). Non-bank lenders like FNFC have no deposits, but rely on capital markets; in 2022 they faced immediate funding cost increases (e.g. CP rates jumped with BoC hikes), so initially squeezed, then in 2023 they locked in high mortgage rates via securitization issuance. By late 2024, **NHA MBS spreads to GoC bonds** were relatively tight (investors were risk-averse, accepting modest spreads for guaranteed MBS), meaning FNFC couldn't rely on securitizing at wide spreads. Indeed, FNFC securitized more of its book in 2024 for strategy reasons, but the **profit per dollar securitized was lower**.

Net interest margin outlook: As we move through 2025, if the BoC continues to cut rates (market consensus expects further modest cuts), **FNFC's funding costs will eventually decline**, potentially restoring some margin. FNFC will also begin to **reap the higher spreads locked in from late 2024 originations** – those loans were likely securitized or sold in early 2025 at improved margins (e.g. Q4 2024 placements had similar per-unit fees YoY, indicating margin stability thennewswire.ca). A point of caution is **sticky deposit rates**: competitors like banks may not lower mortgage rates as fast as BoC cuts if their own funding (deposits) stays expensive. This could actually help non-banks regain spread if capital markets funding cheapens faster. Already by Q2 2025, we might expect ABCP rates to fall somewhat, improving FNFC's carry. **Scenario sensitivity:** If mortgage rates drop 100 bps (parallel with funding), FNFC's volume would likely increase (good) and its servicing income might fall (since float interest on escrow goes down) but net effect would be positive. If only funding drops 100 bps and mortgage rates hold (widening spread), that's very positive for FNFC's margin (a repeat of 2023-type scenario). Conversely, a 100 bps *increase* in rates would likely compress FNFC's margin in the short-term and hurt volumes (similar to early 2022) – notably, in Q2 2023 when bond yields surged, FNFC enjoyed a one-time $31.7M hedge gainnewswire.ca that boosted earnings, but underlying spread on new originations tightened. So FNFC's cash flow is somewhat **hedged**: rising rates hurt operating profit but create offsetting mark-to-market gains (which are non-cash but can be monetized through securitization at higher yields), whereas falling rates help operations but incur hedge losses. This dynamic is important in **quality of earnings analysis** – one must adjust for these swings to see the true economic spread FNFC is earning.

Securitization & Funding Mix (Institutional Placements vs. On-Balance Sheet): FNFC's business model gives it flexibility to either **sell mortgages to institutional investors for an upfront placement fee or securitize them (pool into MBS/CMB or ABCP conduits) for interest spread income**. The choice affects both timing of revenue and capital usage. Between 2022 and 2024, FNFC **tilted more toward securitization**. In 2022, about **64% of FNFC's originations (incl. renewals) were**

placed with institutions and 36% securitized. By 2023, the mix shifted slightly – placements were 62% and securitizations 38% (calculated from $6.2B placed of $10.4B in Q4 2024, similar ratio annually)newswire.canewswire.ca. **Drivers of this shift:** In 2022, rising rates made some institutional investors (like life insurers) pull back or demand higher yields, so FNFC chose to securitize certain mortgages instead of selling at a low gain. In 2023, FNFC securitized a *lot* of its growth – notably, *renewed mortgages*: FNFC mentioned it "**elected to securitize renewed mortgages rather than placing them**" in 2023 where possiblefirstnational.ca. This boosts FNFC's future net interest income (since they keep the mortgage asset yielding interest), at the expense of immediate fee income. In 2024, with margins tight, FNFC doubled down on securitizing especially commercial segment loans (which carry lower one-time fees anyway)firstnational.ca. By Q1 2025, securitization volume was very high – of $8.3B originations, Your equation will show up here **3.2B (39%) were for FNFC's own securitization programs**newswire.ca. The **benefit** of securitizing more is the creation of a growing portfolio of interest-earning assets and servicing rights, which as management notes, yields multi-year streams of income and the ability to capture renewal revenuefirstnational.ca. It also builds FNFC's servicing portfolio (now ~$155B MUA) which generates steady fees. The **trade-off** is cash flow and timing: placement fees are realized immediately as cash and income, whereas securitization spreads trickle in over years. For example, in 2024 FNFC's placement fees fell by $20M (to $248.3M) partly due to securitizing renewalsfirstnational.ca – that $20M is not "lost" but rather will be earned as net interest margin over time on the securitized loans. From a **quality of earnings perspective**, one might treat the securitization decision as affecting the recurring vs one-time mix. FNFC's 2024 earnings had a higher proportion of recurring net interest income and a lower proportion of one-time sale gains – arguably a positive for quality (more sustainable), albeit the absolute amount was lower. However, **securitization requires funding capacity and working capital**: FNFC had to fund an average of ~$4–5B of mortgages at any given time before turning them into MBS. This increases short-term debt usage and affects **working capital**. Indeed, FNFC's total assets swelled to $51.2B by Dec 2024 from $46.0B a year priornewswire.ca, reflecting more mortgages on balance sheet. This can impact operating cash flow and requires adequate liquidity lines. FNFC appears to manage this well (it has bank credit lines and ABCP conduits), but a diligence eye would examine **whether FNFC has sufficient warehouse credit to continue this strategy** and the cost of that (we saw the cost issue with ABCP).

In summary, FNFC's **securitization activity** increased EBITDA stability (earning spread vs one-time fee) but also increased **deferred revenue** and assets. If evaluating **recurring earnings**, one might add back the "economic value" of securitization gains that are not recognized upfront. Conversely, one-off placement fees were lower, making 2024 earnings more repeatable in theory. Going forward, FNFC will likely maintain a balance: it will sell some mortgages (especially those that bring high immediate premiums, e.g. certain insured 5-year terms) and securitize others (especially renewals and 10-year multi-residential loans where investor fees are low).

Credit Quality and Delinquency Trends: A crucial performance driver (and risk factor) is credit quality – particularly in a rising rate environment where debt service costs climb. **Notably, FNFC and its peers have experienced very low delinquency and loss rates through 2022–Q1 2025**, thanks to strong underwriting and the fact that a significant portion of FNFC's book is insured or prime loans. According to CMHC data, **mortgage arrears increased slightly for all lender types by early 2024** but remain low: by Q1 2024, **90+ day delinquency was ~0.15% for chartered banks, ~0.25% for other non-bank lenders (like FNFC), and ~0.6–0.8% for Mortgage Investment Entities (MIEs)**file-fjta8t1sjysv2dtbxh5x6x. This is up from the pandemic lows (which were near 0.1% or less) but around or below pre-pandemic levelsfile-fjta8t1sjysv2dtbxh5x6x. CMHC notes "**delinquency rates remain low for chartered banks and credit unions**" and while unregulated lenders' arrears rose more, they "**have reached [pre-pandemic levels]" by Q1 2024file-fjta8t1sjysv2dtbxh5x6x**. For FNFC, which falls in the "other non-bank" category, this suggests arrears around 0.2–0.3%, which is *extremely low*. Indeed, FNFC did not highlight credit losses in any of its MD&A or commentary – an implicit sign that impairments were immaterial. We can infer FNFC's actual credit losses are minimal: a large portion of its portfolio are insured mortgages (no credit loss risk to FNFC) and prime conventional mortgages with strong equity (especially given significant home price appreciation pre-2022 – even after the correction, most homeowners have equity cushions). **Home Capital's experience** is illustrative: even as an alt-A lender, its arrears only ticked up to ~0.3–0.4% by 2023 and losses were low. FNFC likely is at or below those levels.

Looking ahead, there is some concern industry-wide about borrowers renewing at much higher rates potentially defaulting. CMHC flags **"higher interest rates on mortgage renewals in 2025–2026"** as a risk factor for consumersfile-dhtahnnppgx46jues7lqtn. However, those borrowers typically will try to adjust budgets or extend amortizations rather than default, and lenders are accommodating. FNFC's CEO in Q1 2025 noted that while the environment was challenging, they remain confident in the cash flows from the book – implying they do not foresee major credit issuesnewswire.ca. Also, a chunk of FNFC's mortgages (commercial multi-family) are insured and effectively risk-free from a credit perspective (the insurer or government bears it). **Sensitivity:** If delinquencies were to double for FNFC (say from 0.25% to 0.5%), the impact on cash flow would still be modest – perhaps a few million dollars of extra provision, given their ~$40B securitized portfolio. That would not be material to EBITDA. The much bigger risk would be a severe housing downturn causing a liquidity crunch, but Canada's downturn in 2022–23 was moderate and did not cause widespread defaults. Indeed, **household debt service ratios reached record highs in 2023**, but unemployment stayed low, preventing defaults. Should unemployment rise substantially (as some forecasts warn it might into mid-2025)file-dhtahnnppgx46jues7lqtn, arrears could rise. Even then, starting from ~0.2%, a doubling or tripling still puts arrears only around 0.6%, which is manageable. Big banks are preparing for slightly higher credit losses, but none anticipate anything near U.S.-style default rates. Therefore, **credit risk is not a major drag on FNFC's performance in this period** – on the contrary, the strong credit quality has allowed it to continue paying hefty dividends and not retain earnings for loan loss reserves. From a due diligence view, one should confirm FNFC's **exposure to higher-risk segments is limited** (e.g. FNFC's Excalibur program – its small alternative mortgage offering – is likely only a few percent of volumes and tightly underwritten). Also, check if FNFC is experiencing any **early signs of stress** (e.g. increase in 30-day arrears or special payment deferrals). As of Q1 2025, the data suggests no alarming trend – **CMHC's report shows even non-bank arrears still below 0.3% in Q1 2024**file-fjta8t1sjysv2dtbxh5x6x. In short, **FNFC's cash flows are underpinned by a very secure book of mortgages**; credit losses have not meaningfully impacted EBITDA or free cash flow in 2022–2025.

Other Industry Factors: A few additional drivers are worth noting: **Regulatory and structural trends** – e.g. the **rise of mortgage brokers** and consumer behavior. As mentioned, broker usage hit ~48% in 2024file-r8wd338zk5vippsuvtcluz. Consumers often cite **rate shopping and service** as reasons to use brokers (with 34% saying brokers got them better rates)file-r8wd338zk5vippsuvtcluz. This trend benefited non-bank lenders (which rely on brokers) like FNFC, EQB, MCAP, etc. FNFC's Merlin underwriting platform and broker service were repeatedly touted in its reports as competitive advantagesfirstnational.canewswire.ca. Conversely, **loyalty to bank lenders at renewal remains high** – 74% of renewers stayed with their existing lender in 2024file-r8wd338zk5vippsuvtcluz – which can be a hurdle for non-bank lenders trying to pry clients away. FNFC's strategy to capture renewals of mortgages it originally sold to investors involves offering refinancing options via brokers to those clients; its success there is not directly disclosed, but the fact renewals grew suggests it's capturing a fair share. **Product shift:** There was also a trend of borrowers choosing shorter-term mortgages during the uncertainty (e.g. 1-2 year fixed or variable) expecting rates to fall. FNFC noted borrowers opted for shorter terms at renewal in 2023firstnational.ca. This could shorten the duration of FNFC's securitized portfolio (faster turnover) and potentially reduce the average placement fee (since 1-year term renewals might yield less fee than a 5-year). It's a minor factor but part of the margin dynamics. **Housing market trends:** Regionally, FNFC has coast-to-coast reach. Some regions like Alberta and Quebec outperformed in 2024 (per FNFC)newswire.ca, which may have helped its volumes. Macro risks like new regulations (e.g. mortgage qualification rules) were present but unchanged in this period. Government insurance (CMHC, etc.) continued to strongly support multi-unit lending, which was a tailwind for FNFC's commercial segment.

Financial Due Diligence Considerations and QoE Implications

Earnings Quality – Recurring vs One-Off: FNFC's financials require parsing **core vs non-core earnings**. A due diligence (QoE – Quality of Earnings) analysis would adjust for: (1) **Fair value gains/losses on financial instruments** – these added significantly to net income in some periods and subtracted in others, but are not realized cash earnings. FNFC conveniently reports Pre-FMV Income, which strips these outfirstnational.canewswire.ca. We should rely on Pre-FMV as the true operating profit. Over FY2022–Q1 2025, FNFC's **Pre-FMV Income totaled ~$874M (cumulative)**, whereas reported net income totaled ~$678M – the difference is the net fair value gains recognized in 2023 offset by losses in 2024. For QoE, we'd likely normalize to Pre-FMV. For instance, **FY2023 net income of $252.8M included some hedge gains; Pre-FMV was $322.2M**firstnational.ca, indicating about $69M of unrealized losses were excluded (actually, in 2023 FNFC had some fair value *losses* because Pre-FMV > net, likely due to falling bond yields in Q4 2023). Conversely, in 2022 Pre-FMV exceeded net (208.8 vs 197.7)firstnational.ca, meaning FNFC had net fair value *gains* in 2022 (which boosted net). The **takeaway** is that a buyer or analyst should focus on the **sustainable earning capacity** as reflected by Pre-FMV Income, which was ~$208M in 2022, jumped to $322M in 2023, and ~$290M in 2024newswire.ca. Given Q1 2025 is $52.6M Pre-FMVnewswire.ca, the run-rate is ~$210M annually at present – but likely improving through 2025 with volumes. (2) **One-time special dividends or capital actions** – FNFC paid special dividends ($0.75/share in 2023, $0.50/share in 2024)newswire.ca. These don't affect EBITDA, but indicate excess capital release. For QoE, this signals that part of earnings was truly surplus (non-needed capital). However, the payout ratio jumped in 2024: FNFC's common dividend payout was 89% of earnings (ex-special) in 2024, up from 76% in 2023newswire.ca. This was due to earnings dipping – management explicitly said they **maintained dividends despite lower short-term earnings because they view the hedge losses as temporary** and not impacting true cash generationnewswire.ca. A QoE analysis might thus consider whether FNFC's dividend is covered by normalized earnings (it was, if we exclude unrealized losses, payout ~68%newswire.ca). (3) **Changing revenue recognition** due to securitization vs sale mix – as discussed, FNFC sacrificed some immediate revenue for future spread. In a QoE, one might **add back the "net present value" of foregone placement fees** as a pro-forma adjustment, or at least highlight that 2024's lower fee income doesn't mean lost business, just different timing. Conversely, 2023's jump in deferred placement gains (to $25.3M)firstnational.ca was unusually high; a portion of that was essentially pulling forward value from multi-year insurance premiums. A conservative QoE might normalize 2023's gains on deferred placement to a more typical level (say ~$15M, the level in

2022firstnational.ca), which would reduce 2023 EBITDA by ~$10M, noting that 2024 already came in lower on that front.

Margin and Spread Risks: A key due diligence focus is **future margin sustainability**. The data shows FNFC's margin was under pressure in 2024 and early 2025, but there are signs it may recover. One risk is **if competition remains fierce, lenders may continue offering low spreads**. Brokers reported that direct-to-consumer offerings (like bank retention deals) were not their top worry in 2022file-4b8xmnemr9js7dqneapuaw, but with banks now hungry for loans, this risk is rising. FNFC had to **increase broker commission (incentives) in 2022**firstnational.ca and likely again in 2024, which directly hits net spread per mortgage. If the pricing war escalates, FNFC's profitability could be crimped even if volumes are strong. Another margin risk is **interest rate volatility** – rapid moves can cause short-term mismatches (as seen in Q3 2024's hedge loss). From a QoE perspective, one might stress-test FNFC's earnings for interest rate shocks. For example, **a ±100 bps rate shock**: If rates drop 100 bps suddenly, FNFC might incur a one-time fair value loss (maybe on the order of $25–30M, based on Q3 2024's experiencenewswire.ca) but then enjoy better origination and cheaper funding thereafter. If rates spike 100 bps, FNFC could see a one-time fair value gain (non-cash) but suffer lower originations and perhaps have to pay up for funding (squeezing spread until it catches up). Over a medium term, FNFC's model tends to even out (it hedges interest commitments with forward bond sales, etc., which is why those gains/losses appear). Thus, the **hedging program is important to diligence** – it has worked well to protect FNFC's economics (no huge losses during swings, just timing differences), but it means reported earnings will always have some noise.

Working Capital and Liquidity: FNFC's business is **working-capital intensive** in that it needs to fund mortgages before securitization or sale. The financials show large **accounts receivable and mortgage accumulation** lines. In a growth phase (like Q4 2024), these working capital needs expand, which can depress operating cash flow despite strong EBITDA. Indeed, FNFC's cash from operations in 2022–2024 may show negative swings due to originating more mortgages than in prior periods (to be checked in cash flow statements). For QoE, one should assess **EBITDA to cash conversion** after working capital. Typically, over a year, FNFC's net working capital related to mortgages should zero out (as loans get securitized/sold). But at quarter ends, timing causes fluctuations. Additionally, **FNFC's advances for mortgages under administration** (servicing advances, etc.) can affect cash. In due diligence, verifying that FNFC has sufficient warehouse credit (perhaps from big banks) and noting the terms of those facilities (are they committed, what rates) is crucial. Any **tightening in securitization markets or bank lines could constrain FNFC's growth**. As of now, NHA MBS and CMB markets remain highly liquid (government-guaranteed), and FNFC actually issued Your equation will show up here **200M of unsecured notes** in 2024 (Nov 2024) as term fundingnewswire.ca, indicating good capital markets access. This $200M note due 2027 was likely to bolster liquidity. Overall, **working capital needs are increasing with MUA**, but FNFC has managed by tapping diversified funding (CP, unsecured notes, repo, etc.). For QoE, one might highlight that **some EBITDA is tied up in receivables/inventory (loans held)** at any point – e.g. FNFC earns interest on mortgages it holds but also has to pay interest to fund them, so net interest margin is the "carry" which is part of EBITDA, whereas the principal is working capital. This is inherent to the model.

Recurring vs One-Off Earnings and Growth: We should separate what portion of recent earnings growth came from **recurring, sustainable sources vs. one-offs**. Recurring sources include: net interest margin on a growing securitized book, servicing income on growing MUA, and steady placement fee revenues tied to ongoing origination volume. One-offs or volatile components include: hedge gains/losses, special placement transactions (like a large 10-year commercial mortgage pool sale that yields a big deferred fee gain), or outsized prepayment penalties (not discussed here, but sometimes lenders get income from penalties when borrowers break mortgages – likely small for FNFC given slow prepayments). From 2022 to 2024, a larger share of FNFC's revenue shifted to recurring (interest and servicing was 46% of revenue in 2021 vs ~57% in 2024, by rough estimate, as placement fees' share fell). This bodes well for stability. However, **one recurring component that is at risk** is **broker channel volume itself** – which, while not "one-off", is cyclical. If the housing market falters or if banks price FNFC out, that core revenue could dip. But given housing demand (especially with high immigration targets) is expected to pick up beyond 2025file-dhtahnnppgx46jues7lqtnfile-dhtahnnppgx46jues7lqtn, FNFC's core engine should have secular support.

In terms of **quality of earnings for a potential transaction**, an acquirer would likely value FNFC on a normalized earnings basis that smooths out the hedging noise and considers the sustainable spread. For example, one might take FY2024 Pre-FMV of $290M and adjust slightly up because 2024 was suboptimal in margin (assuming normalization as funding costs ease). Conversely, one might adjust 2023 down a bit as it likely over-earned relative to mid-cycle margins (2023 benefited from the peak rate environment that is unlikely to persist exactly in that form). So a mid-point might be around $250–$270M Pre-FMV EBIT going forward, before growth.

Working Capital and Cash Flow Implications: FNFC's **conversion of EBITDA to free cash flow** can vary year to year. In 2023, for instance, FNFC's operating cash flow was strong, which enabled the special dividend. In 2024, more cash was redeployed into funding loans (as seen by asset growth), so free cash flow to equity was lower (they still paid a hefty dividend but reduced the special). A due diligence would project cash flows under different scenarios: e.g. **if FNFC resumes more normal placement levels** (freeing up cash) vs **if it continues to grow its securitized portfolio rapidly** (which consumes cash but builds future value). It's a strategic choice: growing the securitized book is akin to reinvesting earnings into interest-generating assets. For an acquirer, valuing FNFC would involve valuing the existing securitized book (present value of future net interest margins) plus the platform's ability to generate new business. In a sense, FNFC's **quality of earnings is high** in that credit losses are minimal and a large portion of its revenue is backed by either government guarantees or strong counterparties (e.g. servicing income from mortgages mostly insured or bank-owned). There is little risk of *past* earnings being illusory (no aggressive accounting or pending write-downs). The main risk is **forward-looking – can it sustain the same earnings level if market conditions shift?**

Given all the above, for financial due diligence we'd conclude: **FNFC's earnings from core operations are solid and largely recurring (after adjusting for hedge noise), but the margins achieved in 2023–early 2024 were unusually high and then unusually low, respectively. Normalizing to mid-cycle, FNFC can likely achieve EBITDA margins in line with its long-term averages provided competition doesn't erode broker economics further.** Its cash flow generation is sufficient to cover dividends and growth, and capital needs are moderate since much of its lending is off-balance-sheet (and it has proven access to securitization markets for funding). **Credit risk remains a minor concern, but macro conditions (rates, competition) remain key variables.**

In conclusion, **First National's financial performance from 2022 through early 2025 reflected the macro swings: a downturn stress test in 2022, record profitability in 2023 as it capitalized on rate tailwinds, and a competitive squeeze in 2024 that it managed to navigate by year-end.** The company's focus on prime credit and securitization has paid off in maintaining cash flows and asset quality. Investors and analysts should continue to monitor net interest spread trends and competitive dynamics as the housing cycle turns upward, but FNFC enters this next phase with an expanded servicing portfolio and proven resilience. As Jason Ellis summed up, 2024 showed the "resilient nature of our business," and with a likely stronger spring 2025 ahead, FNFC is positioned to convert that resilience into renewed earnings growthnewswire.ca.

Sources: First National FY2022–FY2024 financial results and MD&Afirstnational.cafirstnational.canewswire.ca; FNFC management commentaryfirstnational.cafirstnational.ca; CMHC Mortgage Industry and Consumer reportsfile-fjta8t1sjysv2dtbxh5x6xfile-r8wd338zk5vippsuvtcluz; EQB Inc. FY2023 resultsnewswire.canewswire.ca; Home Capital 2022 resultsbusinesswire.combusinesswire.com; and DBRS Canadian ABCP/market commentarynewswire.canewswire.ca.